

it. The stock hit your stop loss and you are out.

It should be apparent that it also limits your ability to net a 100-bagger.

You would've been stopped out of every one long before it ever returned 100 to 1.

Monster Beverage became a 100-bagger in 10 years, as we've seen. Remember the heat map above? I count at least 10 different occasions where it fell more than 25 percent during that run. In three separate months, it lost more than 40 percent of its value. Yet if you focused on the business — and not the stock price — you would never have sold. And if you put \$10,000 in that stock, you would have \$1 million at the end of 10 years.

I have many such examples. It's true you could get lucky and hit a double or triple by getting the timing right on something. But in that effort, you'll surely be stopped out of a lot of ideas along the way. And what is the point of going through all the research required to come up with an idea if you're going to let your neighbor dictate your sell price?

Second, you might say to yourself, "Well, I can buy it back later." But honestly, will you buy it back? I think it is easier to say these things than to do them. Investing is such a mental game.

Further, you might point to periods where stocks got bubbly. In 1998 or 1999, Coke was trading for 50 times earnings. It was a sell then. But then again, would Coke have qualified for a buy based on our 100-bagger principles? I don't think so. It was a sell even by those lights.

Of course, investing in the buy-and-hold manner means sometimes you will be hit with a nasty loss. But that is why you own a portfolio of stocks. To me, investing in stocks is interesting only because you can make so much on a single stock. To truncate that upside because you are afraid to lose is like spending a lot of money on a car but never taking it out of the garage.

I invest in stocks knowing I could lose big on any position. Overall, though, I know I will turn in an excellent result.

I here quote again that wise old bird, Mr. Phelps. He writes, "Let us fall back on the principle that when any rule or formula become a substitute for thought rather than an aid to thinking, it is dangerous and should be discarded." (A professor wrote in to tell me the above was a